

Rational expectations When people make choices based on available information and experience; where expectations equal expected values and errors are random rather than systematic.

Real return Rate of return on an investment adjusted for changes due to inflation.

Regression An equation describing the nature of the relationship between two or more variables, including measures to assess the accuracy of that relationship.

Relative momentum When an asset's past performance relative to that of other assets is used to predict its future performance.

Relative strength Measure of how strong an asset's performance has been in relation to something else.

Representativeness Subjective probability of an event determined by the degree to which it is similar to the features of its parent population; the tendency to see too many parallels between events that are not the same by inferring too quickly on the basis of too few data points.

Residual The difference between a regression equation's fitted value and what is actually observed.

Reward-to-variability ratio See *Sharpe ratio*.

Risk-adjusted return Profitability adjusted to account for the risk involved in producing that return; Sharpe ratio, information ratio, and alpha are examples of risk-adjusted returns.

Risk aversion Reluctance to accept an uncertain payoff rather than a more certain one with a lower payoff; measure of the additional reward an investor requires for accepting more risk.

Risk-free rate Rate of return on an investment with zero risk; usually represented by the return on short-term Treasury bills.